

Positioning and Week Ahead [07/13]



YAMCO

JUL 12, 2026 · PAID



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Week Ahead Summary

1. The weekly straddle is 82. We've had some great intraday volatility. For now, I generally see the market higher into the summer but earning seasons is coming - time to see what the hyper scalers say about CAPEX growth (or lack of) and earnings as a result of their aggressive CAPEX cycle.
2. Realized Volatility is starting to collapse and continues to collapse into 07/20. Historically sharp drops in RV see some bouts of volatility within the next 7 trading days. Let's see how this goes. If you've been around for a while, you know that RV drops normally bring about Vol Control Fund inflows (Systematics that invest on 1m trailing RV) - so the event could be a one day BTD - or something else - let's see!
3. Net positioning looks to me like a neutral/choppy move down during the week call it profit taking into MAGS earnings or whatever you want to I generally do expect much index upside into earnings but positioning doesn't particularly look bearish or bullish for the week - dispersion is likely to increase into earnings (call it the rotating MAG ponzi system). One heavily weighted single name can move the index (or keep it from moving if there's a bit of profit taking).
 - a. ADV line is making new highs while price is stuck; violent rotation going on under the hood as everything AI related dies around CAPEX slowdown fears

Summarizing the above and looking forward, the environment has remained bullish with some violent moves down on headlines. The market is sleeping at the wheel

while “internals” look strong - there’s definitely some warning signs which abound ranging from:

1. COR1M nearing record lows
2. Dispersion pretty much at record highs
3. VIXEQ/VIX at record highs

None of the above are necessarily a reason to be bearish - after all, we’ve been in a high dispersion environment for much of the year, correlations are getting lower and lower (look at pre-2022 correlations before 0DTE SPX and look at how it’s shifted down after the April single name 3x a week options came out). Regardless of your view of the market, it’s a mid-term year and there’s quite a bit working against the administration and the admin loves the stock market. Oil is coming down, earnings are great, and economic data has come in fine as a whole.

Topics covered

1. State of the Market
2. Next week
 - a. Straddles with 50/70 percent ranges
 - b. Term Structure
 - c. Total Market Structure
 - d. Net positioning (Aggregate and by day)
 - e. Technical Structure of the Market
 - f. Sentiment
 - g. Key zones to watch
3. Charts of Interest

State of the Market

Some short vol shocks occurred this week to find liquidity and get fuel to go higher got most of the dip buys (Except Friday - I was too slow).

ES VWAPs



NQ VWAPs



Market looks great across the board now that NQ has finally reclaimed the last ups AVWAPs. However, time will tell if NQ is just an equal high or it going on to make new high.

Why is this important?

Well....I see AVWAPs as a moving volume profile vs static one and think they're ver useful in looking at price movements.

Indicator Used

I published it on trading view [AVWAPs, MAs in one](#)

It takes a bit of setting up but you can do it!

Where are we

The good - Structurally, things look fine and let's go through them

- Holding all AVWAPs
- Holding all major moving averages
- Working through overhead supply from the early June sell
 - Think of this candle as the same as 10/10 - It took days to break through to upside
- ADV line at the highs

The bad - Tech is no longer a leader - is the market different this time.

- NQ is noticeably weaker than SPX for the first time in a while - the AI factor is resting.
 - Do I think the buildout is over - nope not one bit. It's not rocket science but for the market to make a new high, a marginal bid needs to enter big-tech - Semis stay relatively strong (doesn't have a massive sell off, and MAGs have modest bid), it's enough to push the index higher. Earnings are coming up so we might see the liquidity vortex kick in, RSP bleeds a bit, MAGs catch a bid while semis stay flat - the marginal bid keeps us lifted higher.

Dispersion and you!



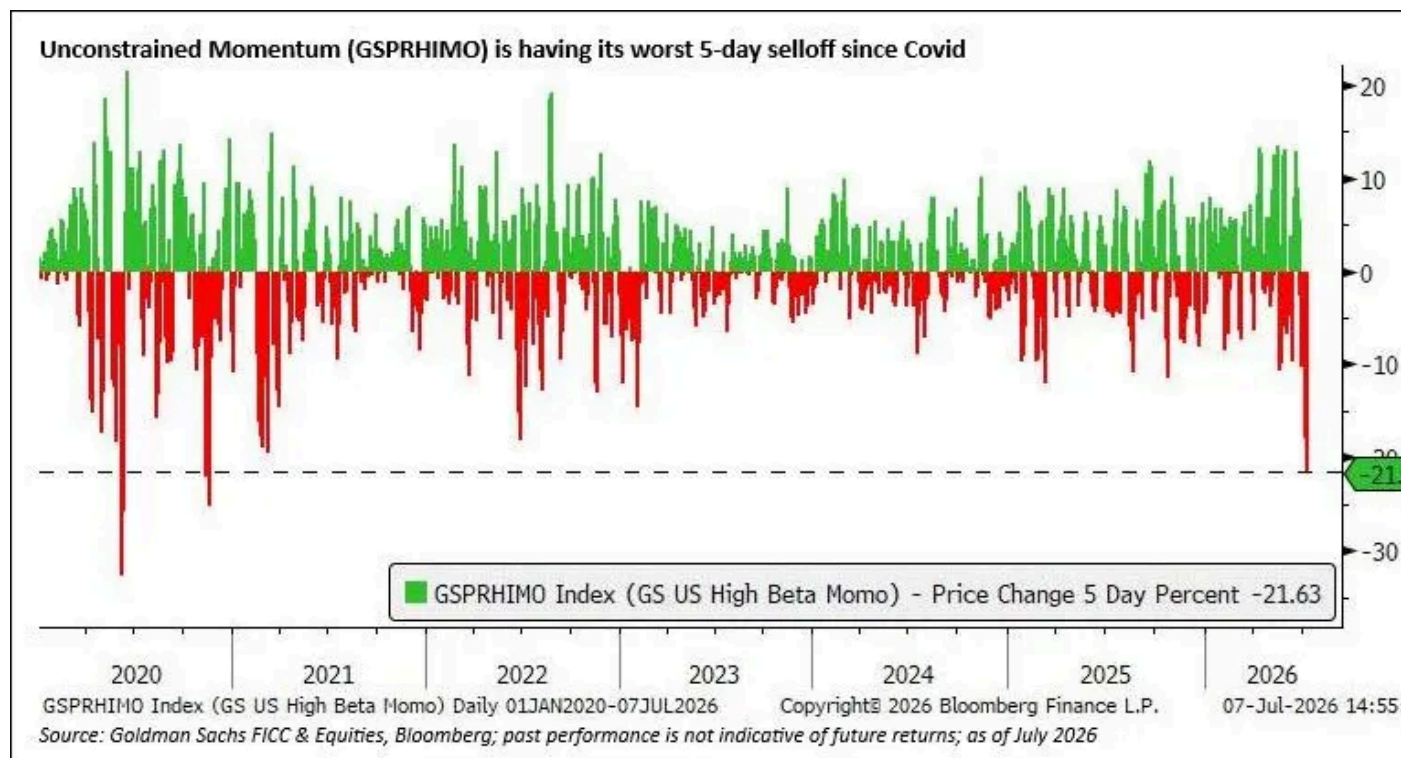
Simple chart showing dispersion (green) and forward 1M correlations - basically the market looks fine at the index level but individual stocks are having massive underlying moves. At the same time, nothing is really moving together (COR1M) - hence the record lows. Is this a bad thing? Not necessarily - it just means a headline can break something but you need the headline to occur.

AI Forward Vol v SPX forward VOL



This is a crazy chart to think about the dual environment with SPX and AI forward Market is bidding forward vol on select names and is not worried about any broad moves down in the market. Is this correct? I don't see any structural issues - the RV event will be a discrete event (if it occurs) and I don't the underlying narrative to change.

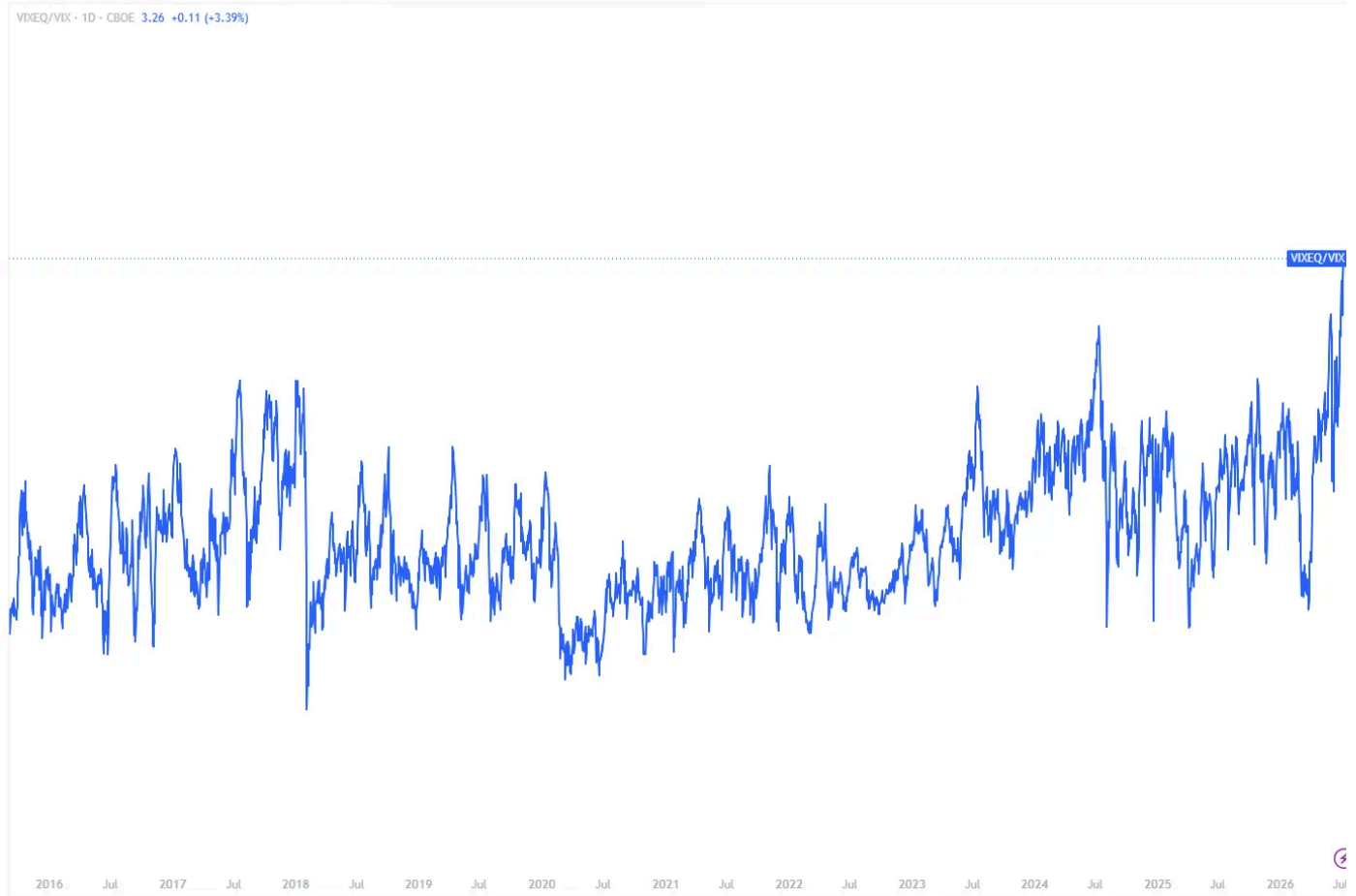
Momentum sell off



Per Goldman, the sell off over the past week was extreme - the most extreme since COVID. There's going to be bounces, sell offs, more bounces, selloffs as momentum factor dip buys come in - residual volatility provides an environment for very quick scalps up and down but generally not interested in memory (or photonics) at this tir

VIXEQ (Single name stocks) / VIX (Index)

Yamco2014 created with TradingView.com, Jul 12, 2026 10:32 UTC-6



TradingView

While we're at it - let's take a look at VIXEQ/VIX - the ratio of single name 30D volatility v index volatility. It's at extremes (higher than Volmageddon), higher than COVID - you get the point....

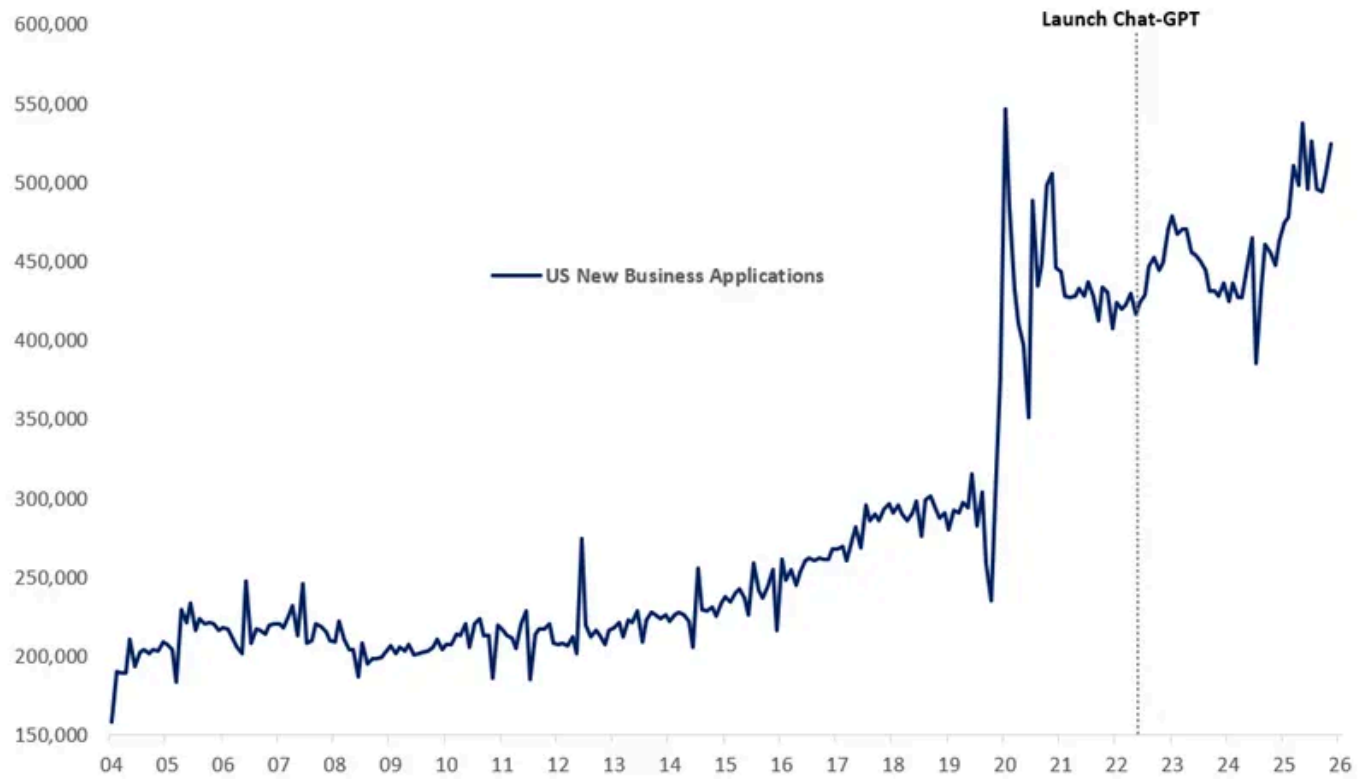
American Exceptionalism and AI

I came across this article from Citadel's Frank Flight published on July 4th this week and going to highlight some interesting items here.

AI & New Business Applications

New Business Applications Are Surging Higher

New Business Applications: Total for All NAICS in the United States



Source: FRED, US Census Bureau, Citadel Securities

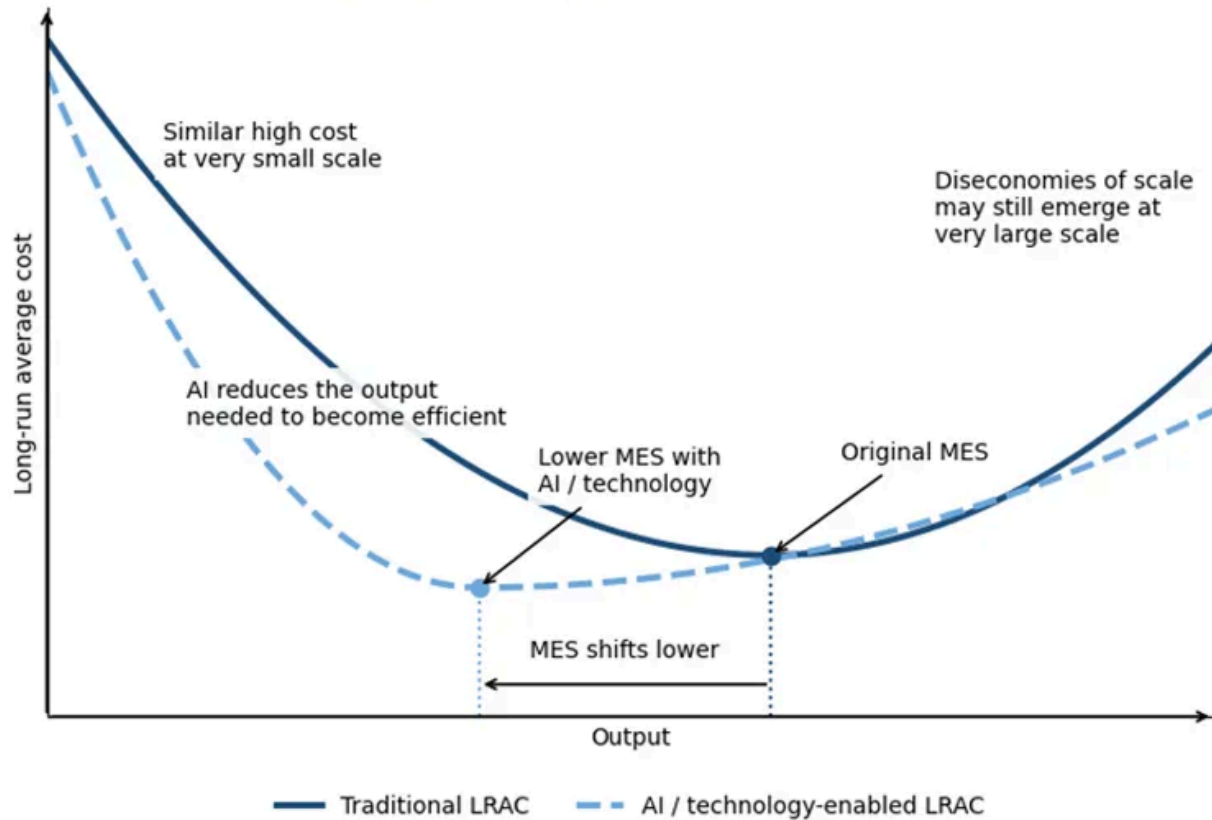
New business applications rocked after ChatGPT came out and showing a noticeable increase over time - maybe AI is lowering the barrier to entry for businesses? Are they successful yet - let's see but productivity increases are America's strength.

It's a simple economics concept - Minimum efficient scale

In economics, minimum efficient scale is the smallest level of output a business can operate at low average cost. AI lowers that threshold by allowing teams to pool resources to accomplish tasks that would normally require a new hire.

AI Reduces Minimum Efficient Scale Unlocking Economies of Scale Earlier

Long Run Average Cost vs Output, Traditional and AI/Tech Enabled, Theoretical Diagram



Source: Citadel Securities

Before you panic over minimum efficient scale saying AI is bearish labor markets, Sequoia estimates that the efficiency of AI (reduction in personnel) is offset by the growth in businesses.

More New Business Formation Now Offsets Lower Labor Intensity

New Business Formation x Median Employees at Seed Round



Source: Sequoia Capital, US Census Bureau, Citadel Securities

Week ahead

1. Next week
 - a. Straddles with 50/70 percent ranges
 - b. Term Structure
 - i. VIX Futures
 - c. Total Market Structure
 - d. Net positioning (Aggregate and by day)
 - e. Technical Structure of the Market
 - f. Sentiment
 - g. Key zones to watch

Economic Calendar

🕒 Current Time: 10:27 (GMT-4:00) | 🕒 Display Time: remaining ▾

All data are streaming and updated automatic

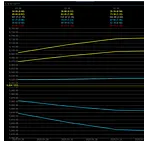
Time	Cur.	Event	Imp.	Actual	Forecast	Previous
Tuesday, July 14, 2026						
08:30	🇺🇸 US	CPI (MoM) (Jun)	★ ★ ★		-0.1%	0.5%
08:30	🇺🇸 US	Core CPI (MoM) (Jun)	★ ★ ★		0.3%	0.2%
08:30	🇺🇸 US	CPI (YoY) (Jun)	★ ★ ★			4.2%
Wednesday, July 15, 2026						
08:30	🇺🇸 US	PPI (MoM) (Jun)	★ ★ ★		0.0%	1.1%
10:30	🇺🇸 US	Crude Oil Inventories	★ ★ ★			2.998M
Thursday, July 16, 2026						
08:30	🇺🇸 US	Retail Sales (MoM) (Jun)	★ ★ ★		0.3%	0.9%
08:30	🇺🇸 US	Core Retail Sales (MoM) (Jun)	★ ★ ★		-0.1%	0.8%
08:30	🇺🇸 US	Philadelphia Fed Manufacturing Index (Jul)	★ ★ ★		12.1	10.3
08:30	🇺🇸 US	Initial Jobless Claims	★ ★ ★		215K	215K

Legend

Let’s look at next week’s economic events:

Inflation readings - let’s see how it goes but I expect nothing.





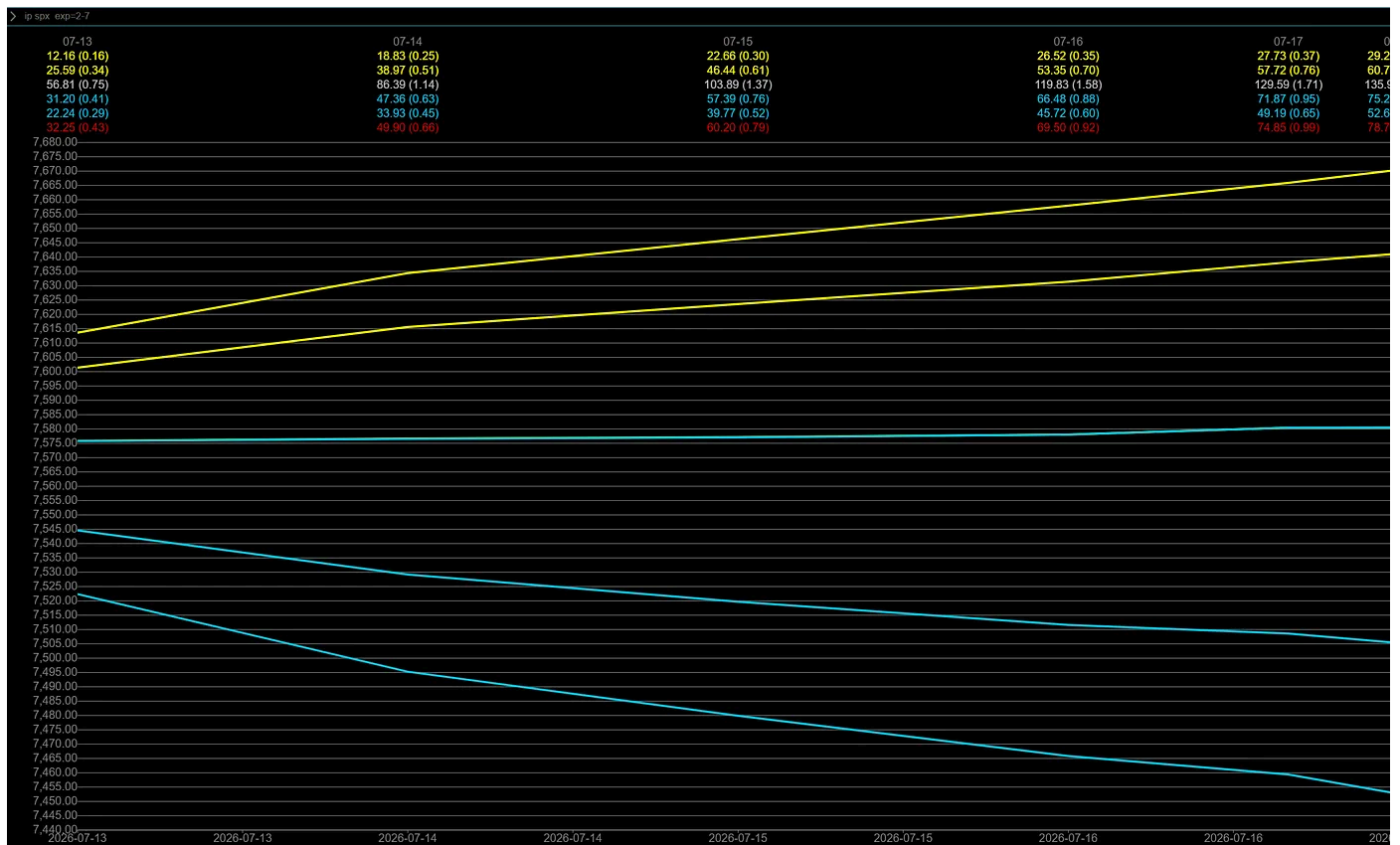
Review of Positioning Metrics

YAMCO • JANUARY 29, 2025

[Read full story →](#)

I added some general explanations of my scanner to the Review of Positioning Metrics (Keeping everything in one place)

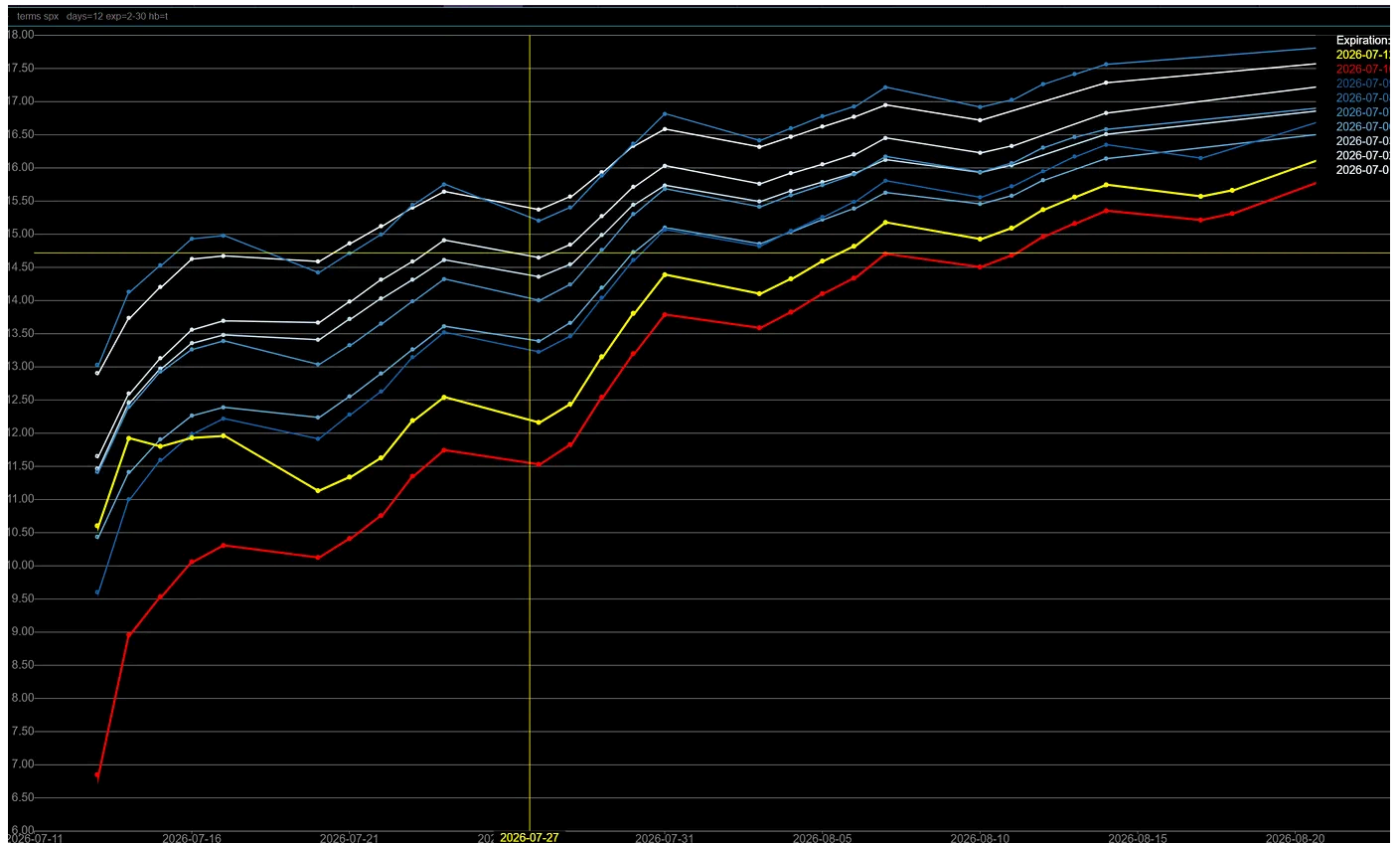
Straddles with 50/70 percent ranges



- Various Time Frame Straddles
 - Weekly Straddle Range: 78pt straddle implies a weekly range of [7497, 7615]
 - July MOPEX Straddle: 232 pt range implies a OPEX to OPEX range of [7261, 7733]
 - September QOPEX Straddle is 459 pt giving us a range of [7041, 7960]
 - This is from June OPEX

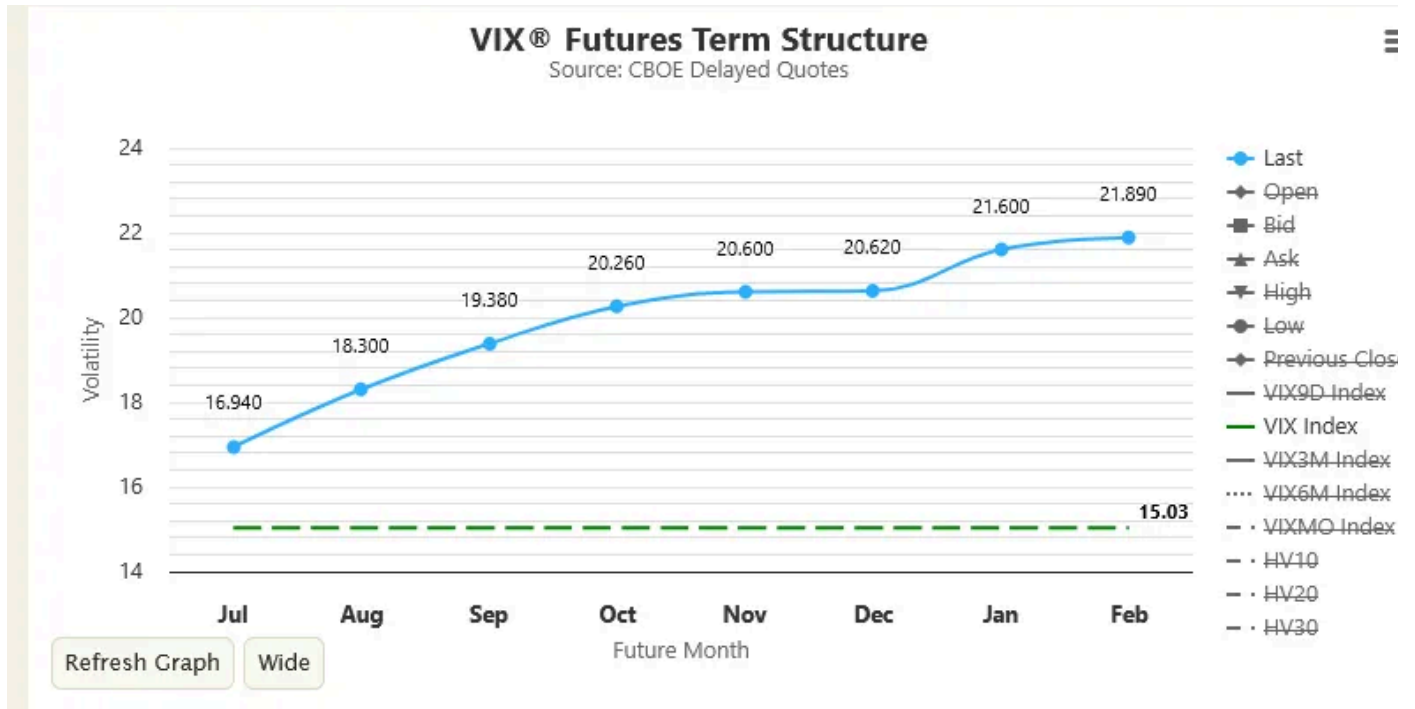
- DEC2025 OPEX to DEC2026 OPEX is 945 points giving us a range of [5889,7779]

Term Structure



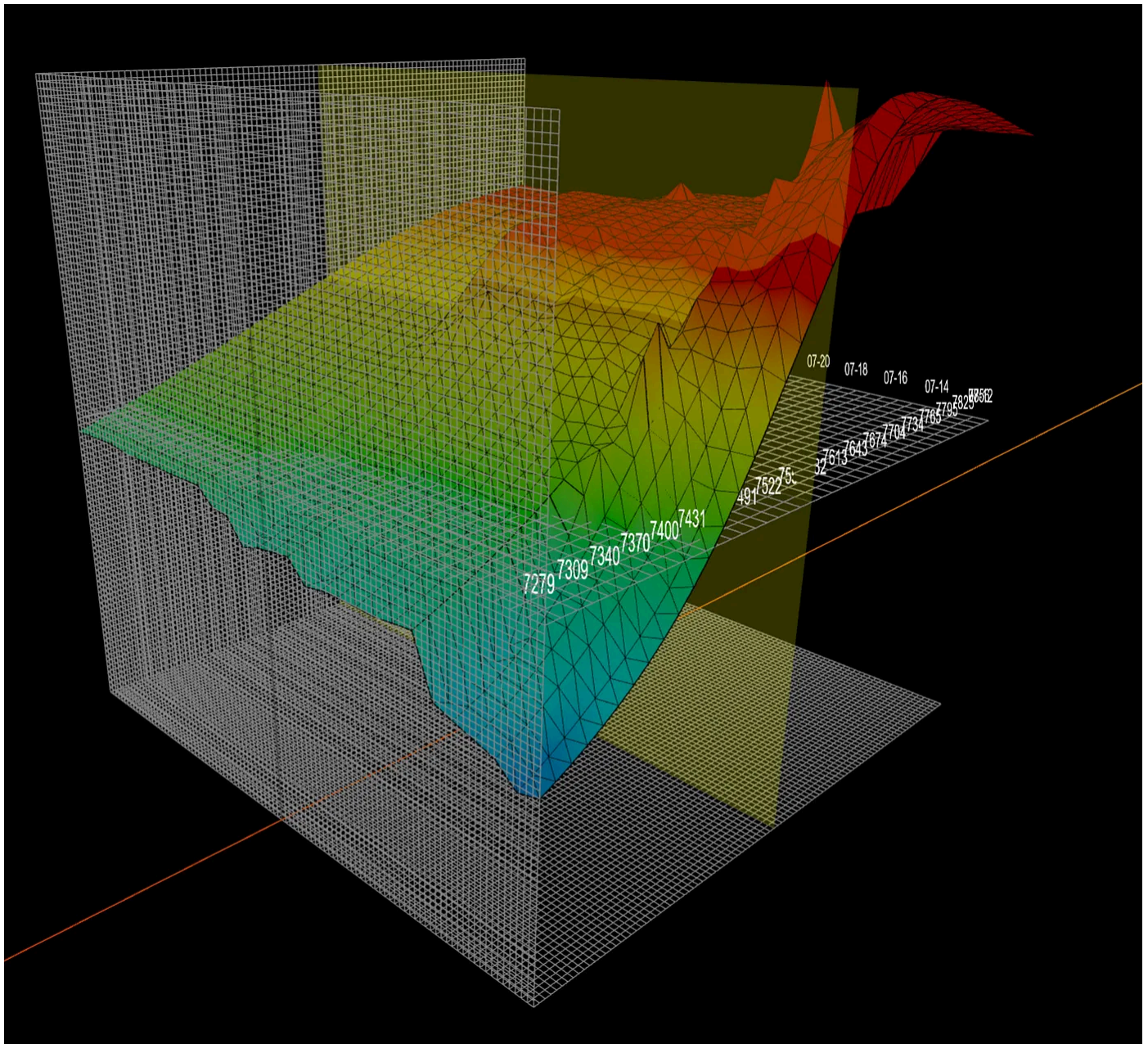
Term structure is pretty much at the lows - no fear in the market. Monday is low volatility expectations that generally remains elevated into OPEX and data releases before increasing into earnings season in the back half of July.

VIX Futures Curve



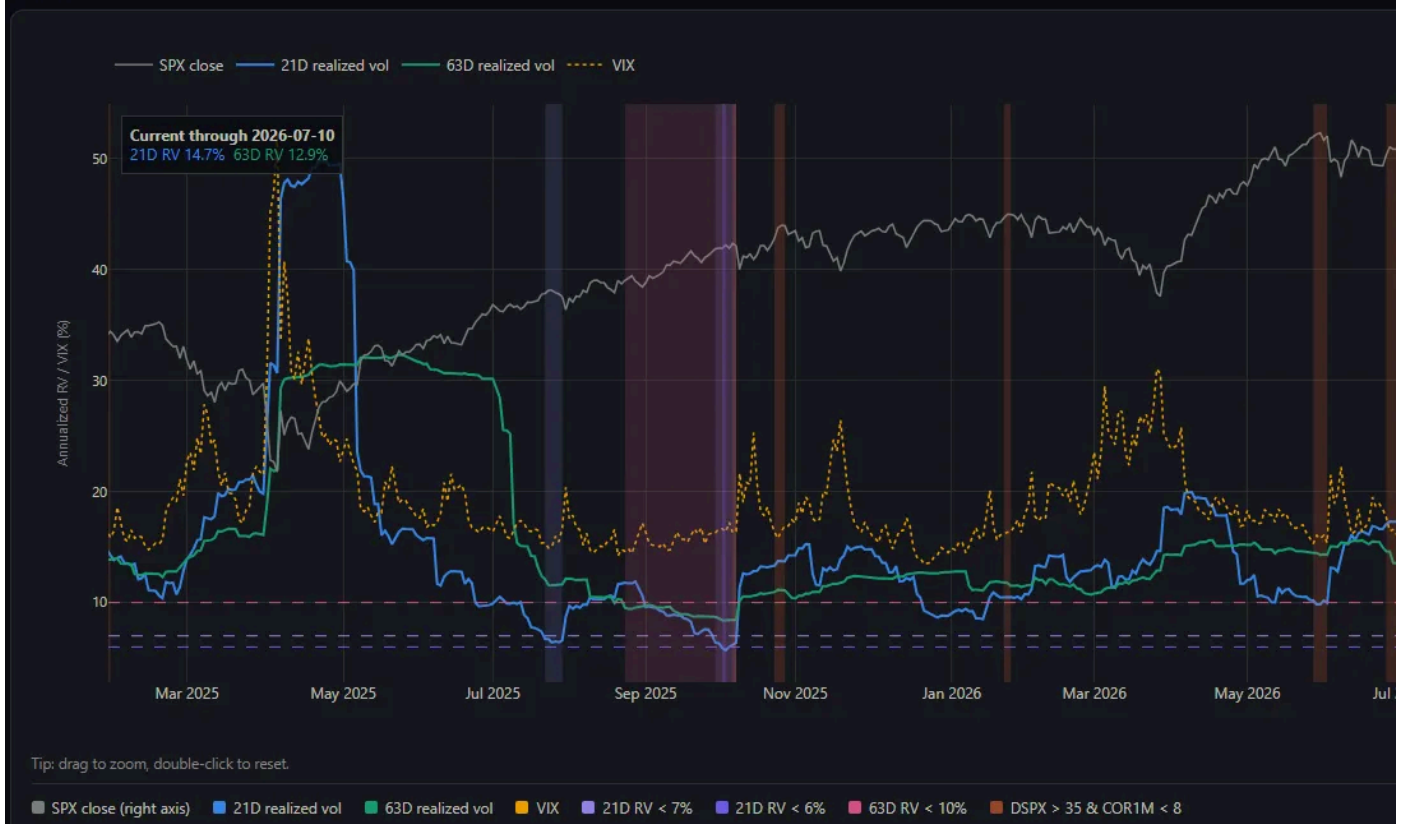
Curve looks fine - no fear/panic. Just a normal VIX curve and dip buys will continue to work. Until spot VOL is over front two months, we remain in a structurally BTM environment - If that happens, it's a bit of a short the rip environment until it resolves.

Surface Models



SPX Realized Volatility — Roll-Off Events

21D & 63D annualized realized volatility, and VIX, plotted against SPX close since 2021-01-01 (SPX on the right axis; RV and VIX share the left axis). Shaded bands mark stretches in each low-vol regime (legend); roll-off events are detailed in the tables below.



The next major RV dropoff began on July 8th and ends around July 16th with a sma roll off from 07/20 to 07/23. An RV warning period opened on 07/08 (but the main signal is on 07/13 and lasts 7 days) - That likely sets up a quick move down in that period. 0DTE positioning might indicate when that specifically might occur.

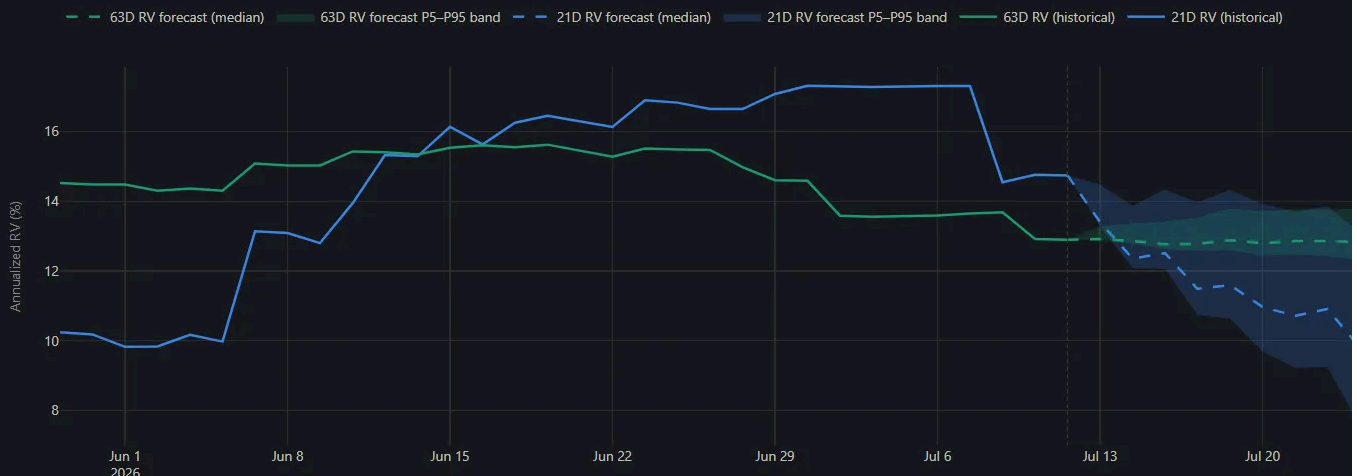
How might it look for the next week and two weeks?

RV FORECAST — NEXT 5 TRADING DAYS (2026-07-13 TO 2026-07-17)

Monte-Carlo forecast (2,000 paths): each forward day's close-to-close return is drawn from the full distribution of the last 252 trading days (~1yr, 252 days). The -0.7% to +1.6% band is a soft bound — each path may land outside it (217 of the 252 sampled days sit inside the band). Dashed line is the median simulated RV; the shaded band is the P5–P95 spread across paths, for both 21D and 63D. Each day's RV is recomputed over real history plus the simulated path, so the current roll-off — recent moves mechanically exiting the trailing 21D and 63D windows over the horizon — is carried through in both. Last 30 trading days of history shown for context.

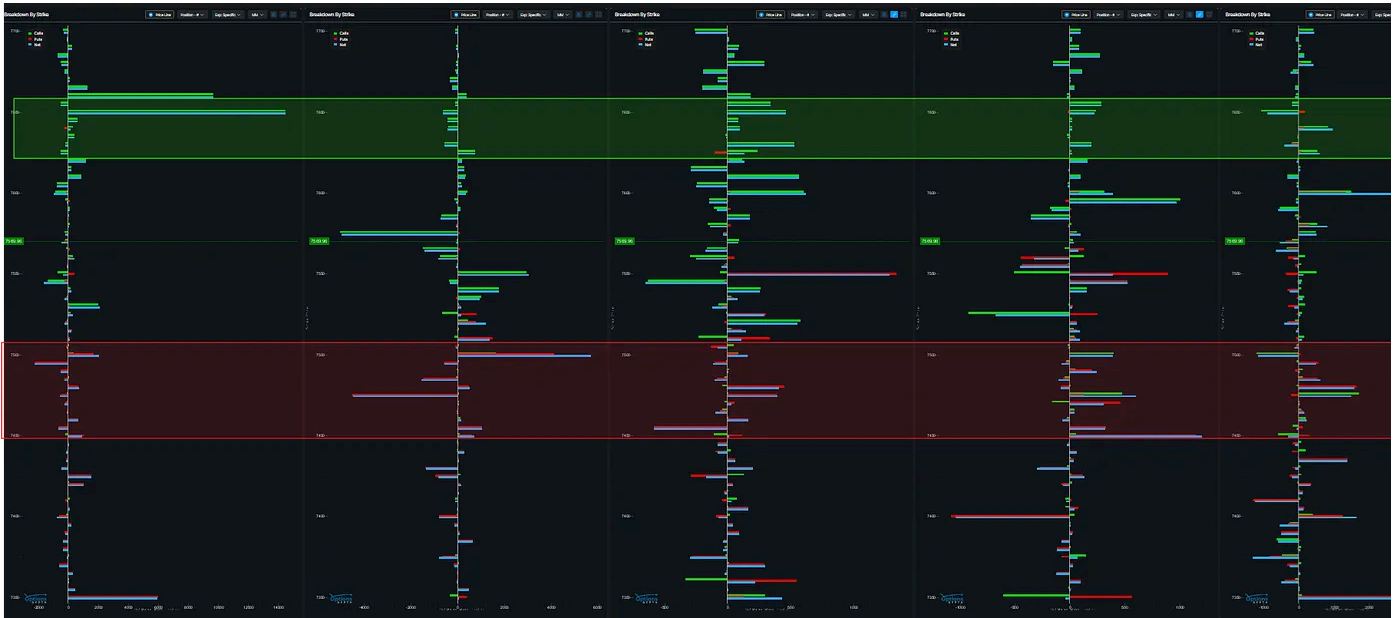
**RV FORECAST — NEXT 10 TRADING DAYS (2026-07-13 TO 2026-07-24)**

Monte-Carlo forecast (2,000 paths): each forward day's close-to-close return is drawn from the full distribution of the last 252 trading days (~1yr, 252 days). The -0.7% to +1.6% band is a soft bound — each path may land outside it (217 of the 252 sampled days sit inside the band). Dashed line is the median simulated RV; the shaded band is the P5–P95 spread across paths, for both 21D and 63D. Each day's RV is recomputed over real history plus the simulated path, so the current roll-off — recent moves mechanically exiting the trailing 21D and 63D windows over the horizon — is carried through in both. Last 30 trading days of history shown for context.



As RV drops, it's a lift in liquidity as Vol control funds enter the picture. Let's see what happens.

SPX Net positioning (Aggregate)



Aggregate Through EOW

The snapshot above is from 7250 to 7750

How to read

- Green: Calls
- Blue: Puts
- Red: Net
- Left: Dealer Short (Market net bought)
- Right: Dealer Long (Market Net sold)

What stands out the most to you?

Market is look poised to stay within a range into earnings but let's see the day to da adjustments as the week goes on.

If you would like your own OptionsDepth Account and think my overviews are valuable, please consider using this referral link:

<https://optionsdepth.com/app?via=Yamco>

Technical Structure of the market (breadth)

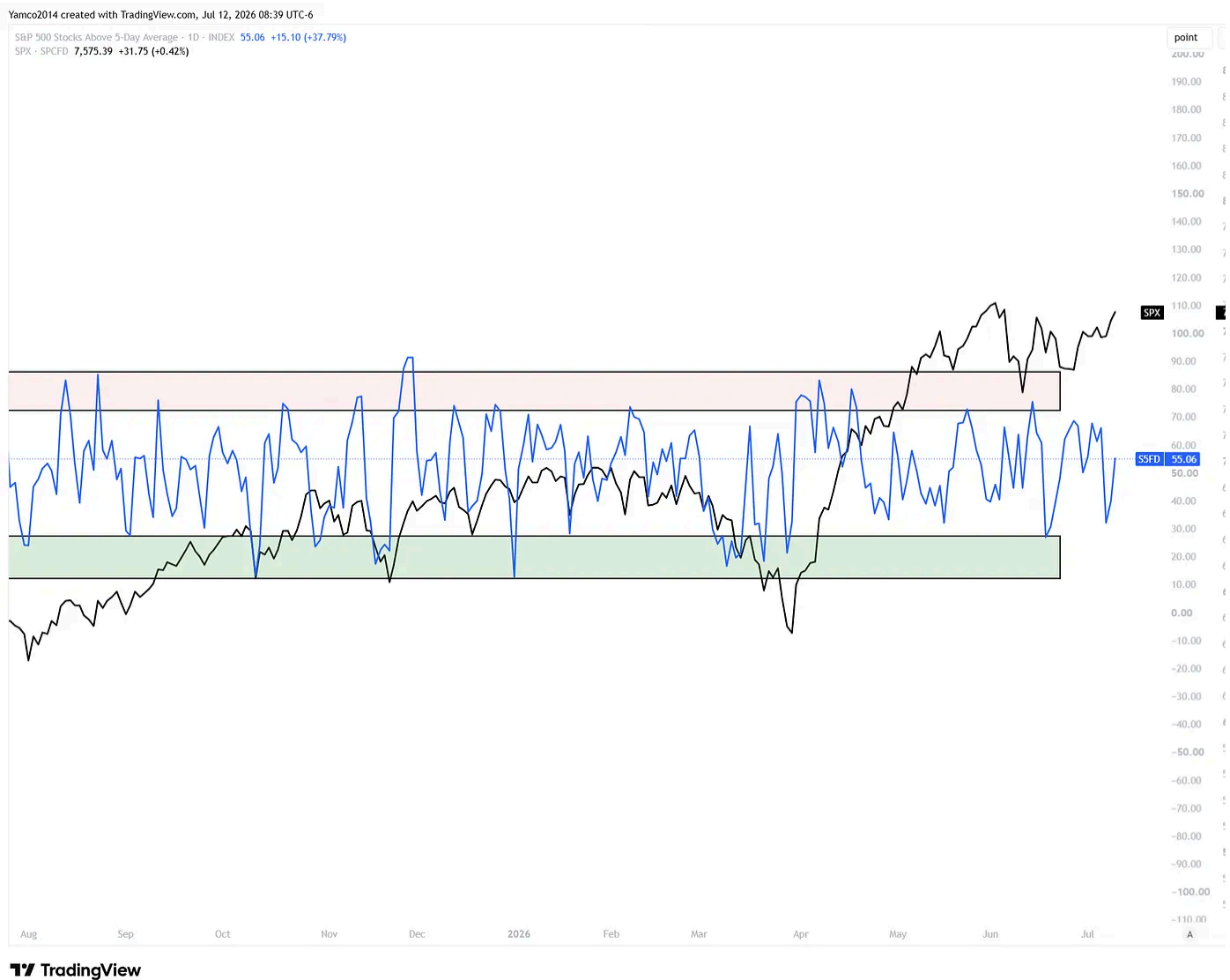


Advance Decline Line

Short term, the ADL is at highs while the market is just off ATHs - the question on mind now is are we going to see a de-risking event (RV event) or is this a false signal

Percentage of stocks over moving averages

5 Day - SF5D



This metric tracks the percentage of SP500 stocks above their relative 5-Day moving average - It's near the top of the range but rapidly shifts around.

How to Read

- Blue Line = S5FD
- Black Line = SPX
- Green Box = S5FD from 15-30
- Red Box = S5FD from 70-90

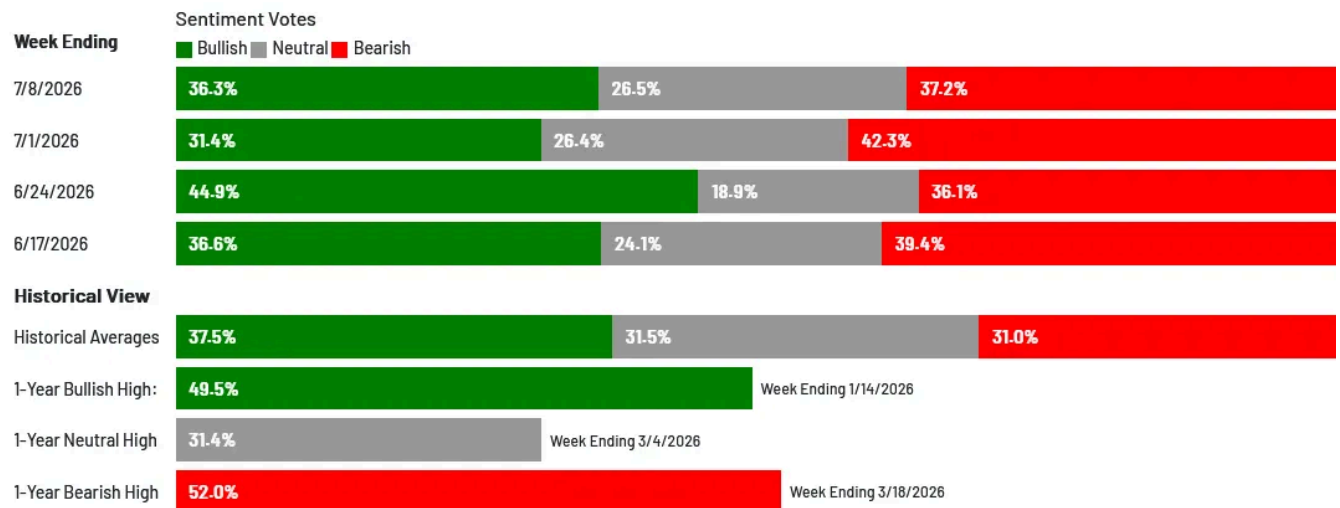
Your eyes should pick up on the oversold/overbought conditions when S5FD reaches extremes - does it always work - depends what you think about wobbles and corrections in time. There's nothing in short term that looks like a worry

Sentiment and Exposure

AAll is released on Thursday mornings

As of Thursday morning, investors are neutral again.

What Direction Do AAll Members Feel The Stock Market Will Be In The Next 6 Months?



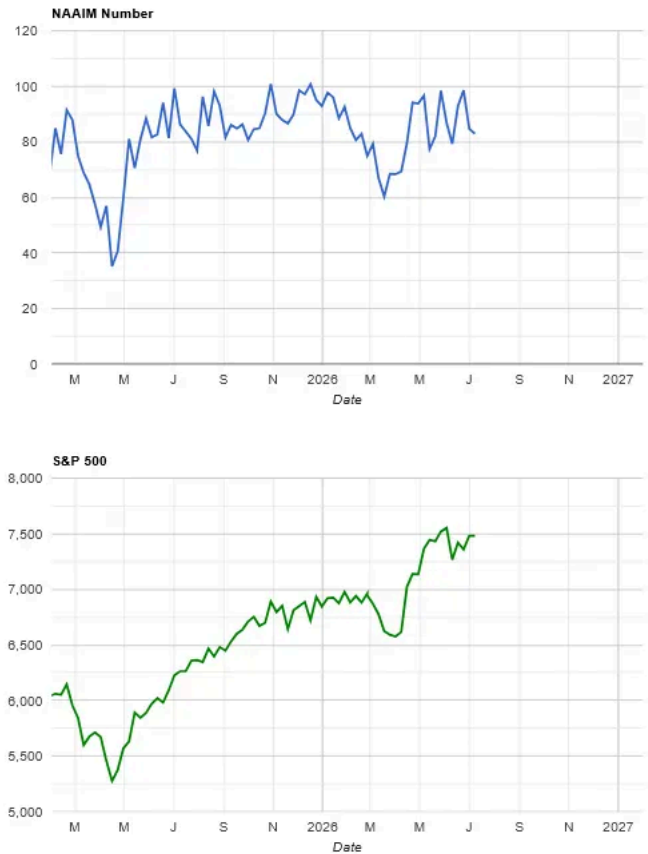
NAAIM Exposure

This week's NAAIM Exposure Index number is*:
82.95

Last Quarter Average (Q2)
87.19

Download EXCEL file with data since inception » [HERE](#)

*Posted on Thursday, July 9, 2026



Date	NAAIM Number Mean/ Average	Bearish	Quart1	Quart2	Quart3	Bullish	Devia
07/08/2026	82.95	-50	67.50	98.00	100.00	200	58.3
07/01/2026	84.69	0	63.75	96.50	100.00	200	54.6
06/24/2026	98.59	0	85.50	99.00	100.00	200	43.3
06/17/2026	92.83	-25	87.50	100.00	100.00	200	49.6
06/10/2026	79.27	-100	75.00	90.00	100.00	200	53.3
06/03/2026	86.82	-200	85.75	95.00	103.75	200	72.6
05/27/2026	98.39	0	87.50	100.00	100.00	200	47.6
05/20/2026	82.02	-100	69.00	96.00	100.00	200	55.3
05/13/2026	77.34	-200	78.75	99.00	100.00	200	68.6
05/06/2026	96.67	0	87.50	100.00	100.00	200	43.3

NAAIM member firms who are active money managers are asked each Wednesday provide a number which represents their overall equity exposure at the market close. Responses can vary widely as indicated above. Responses are tallied and averaged to provide the average long (or short) position of all NAAIM managers, as a group.

As of Thursday, funds are generally back at de-risked levels from May-June. I mentioned last week, I expected to see a bit of a decrease here and we got it. The

market has been long the same stocks and fund managers aren't any different.

Metals (Silver/Gold)

SLV 1.83%↑ (using Front Month Silver Futures)

Monthly scale



Weekly scale zoomed in



CPI can move metals sharply as rate hikes are priced in the forward fed curve - for now - momentum looks not so great while price appears to be setting a floor - an aggressive push down on a hot CPI would be a long term buying opportunity in my opinion based on how far it goes.

GLD 1.13%↑ (Using Front month Gold Futures)

Weekly



Momentum starting to curl - CPI will be the tell.

Daily

Yamco2014 created with TradingView.com, Jul 12, 2026 11:05 UTC-6



TradingView

RSI divergence building while momentum is curling in this large downtrend consolidation break.

Key zones to watch (SPX)

Yamco2014 created with TradingView.com, Jul 12, 2026 08:44 UTC-6

S&P 500 · 1D · SPCFD 07,547.64 H7,579.93 L7,508.16 C7,575.39 +31.75 (+0.42%)
MA Labels 7,526.11 7,506.73 7,485.73 7,469.70 7,432.20 7,117.17 6,964.91

OCT 2023 Support Channel (lost in FEB 2025)



TradingView

Let's put some key moving averages on the chart and look at some basic straddle ranges (Weekly, Month end to Month end, Opex to Opex, QOpex to Qopex, DEC OPEX to DEC OPEX).

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